

OPPORTUNITY COST

Opportunity Cost is the value of the "Road Not Taken."

It is the benefit you miss out on when you choose one option over another. The core principle is that **you cannot spend the same resource (time or money) twice.**

The Simple Formula: Opportunity Cost = What you GAVE UP- What you GOT

The 3 Best Examples to Visualize It

1. The "Free" Lunch (Time Cost)

- **Situation:** Your boss buys you a free lunch, but you have to sit and listen to him talk for an hour.
- **The Price Tag:** \$0 (The food was free).
- **The Opportunity Cost:** The 1 hour of work you didn't get done, or the 1 hour of relaxation you missed. The lunch wasn't actually free; it cost you your time.

2. The College Decision (Implicit Cost)

- **Situation:** You go to university for 4 years.
- **The Price Tag:** \$40,000 in tuition.
- **The Opportunity Cost:** The \$100,000 you *didn't* earn because you were studying instead of working a full-time job during those 4 years.
- **Total Cost:** It's not just the tuition; it's the tuition *plus* the lost wages.

3. The Investor's Dilemma (Capital Cost)

- **Situation:** You keep \$10,000 in a shoebox under your bed.
- **The Price Tag:** \$0 (It costs nothing to keep it there).
- **The Opportunity Cost:** The \$500 you *would have made* if that money was in a savings account earning 5% interest. By "saving" the money in a box, you actually lost \$500 in potential growth.

Why is this concept useful?

It creates better decision-making. Most people only look at the **explicit cost** (the price on the sticker). Smart people look at the **opportunity cost** (what else could I do with this money/time?).

If the value of what you give up is higher than the value of what you choose, you are making a bad economic decision.